

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 20-12

NNABUGWU CHINEDU ANDREW, AVERS LOGISTICS LTD. and CJ DELUZ NIGERIA LTD.,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC., ALLA SOLOVYEVA and RAYA BAKHIREV,

Respondents.

COMPLAINANTS' BRIEF

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I. INTRODUCTION AND RELEVANT PROCEDURAL BACKGROUND

As the Presiding Officer is aware, this action arises out of Respondents' numerous violations of the Shipping Act of 1984, 46 U.S.C. §40101 *et seq.* (the "Act"), which occurred during the course of the parties business relationship. Over the course of their approximately three (3) year long relationship, the Complainants, who are automobile dealers located in Nigeria, hired respondents to accept delivery of seventeen (17) automobiles purchased by complainants at automobile auctions located within the United States, and then ship them abroad. As the Presiding Officer is also aware, respondent MTL is a non-vessel operating common carrier ("NVOCC"), licensed by the Commission and owned by respondent Alla Solovyeva. Respondent Raya Bakhirev was at all relevant times, MTL's accountant and bookkeeper.

As set forth herein, after Respondents were hired to ship Complainants' automobiles from a warehouse operated by MTL in the United States to various locations abroad, respondents instead, violated section 41102(c) of the Act by *inter alia*: releasing complainants' automobiles to unauthorized consignees, detaining various automobiles and refusing to ship them due to allegedly unpaid storage charges for other unrelated automobiles; by misdelivering said automobiles; and in one instance, by destroying two automobiles and cutting them in half without receiving instructions from complainants to do so.

As additionally set forth herein, respondents were, and still are engaged in unlawful conduct on a normal, customary and continuous basis which amounts to a "practice" related to the receiving, handling, storing, and/or delivering of cargo prohibited by section 41102(c) of the Act. Specifically, and with regard to these seventeen (17) automobiles placed into MTL's custody for shipment during the course of the parties' three (3) year business relationship, respondents herein refused to provide complainants with shipping documents, such as Ocean

Liner Bills of Lading, Dock Receipts, MTL House Bills of Lading, Shipper's Export Declarations filed online through Automated Export System ("AES" used by Federal Export Regimes), and invoices for ocean freight. Respondents also refused to provide complainants with statements of account so that complainants could see how their monies (wired to MTL and held by MTL on behalf of complainants as a deposit for paying ocean freight and others charges *after* cars were exported) were being applied. Instead respondents had a practice of: a) refusing to follow the Shipper's (complainants') instructions as to how to apply their money; and b) continually keeping complainants in the dark regarding which wire transfers were being applied to particular shipments. This was done so deliberately in order conceal the fact that respondents were, on a regular, customary and continuous basis, misapplying complainants' ocean freight monies in order to cause complainants to unnecessarily accrue storage charges. Put simply, in the matter at bar, the respondents have continued the same practice of charging excessive storage charges without notice to complainants and keeping complainants in the dark, just like they did previously to another customer (to wit: the complainants in the matter of *Crocus Investments, LLC et al. v. Marine Transport Logistics Inc.*, FMC Docket No.: 15-04¹).

While the respondents initially did not charge complainants at all for storage of the automobiles, their practice of free storage eventually changed, at which time respondents negotiated a flat fee arrangement with complainants wherein MTL and Alla Solovyeva purported to agree to accept a flat fee of \$300.00 for storage of each car delivered to MTL's New Jersey

¹ See, Order Affirming Initial Decision on Remand at p. 2, explaining that on remand, the ALJ determined that Marine Transport acted unreasonably by charging more than its tariff rate to store the Formula boat from August 2013 to February 2014 without advance notice to Crocus. While the Commission found this to be a single incident insufficient to establish a "practice" as required by the Interpretive Rule §545.4 to 41102(c) violations, it is respectfully submitted that the numerous instances of such unreasonable conduct in the matter at bar, together with the unreasonable conduct that took place in the matter of *Crocus, supra*, do in fact establish a "practice" within the meaning of the Interpretive Rule.

warehouse for export. At this particular point in time, MTL was already in possession of the seventeen (17) automobiles at issue in this matter.

After this purported flat fee agreement for storage was reached, Alla Solovyeva encouraged complainants to continue to wire monies to MTL as payment for ocean freight and inland trucking for various automobiles, however, those monies were instead applied towards storage charges allegedly due and owing for cars that had already been released to a consignee, or for *other* charges allegedly due and owing from complainants to MTL. With regard to the seventeen (17) automobiles at issue, Alla Solovyeva and MTL ignored complainants' instructions to apply certain wires towards ocean freight and ship the cars, and instead, Alla Solovyeva and MTL refused to ship various cars (leaving them in storage for extended periods of time) or simply sent them to a port of destination not requested by complainants (and ultimately released them to unknown consignees who had no dealings with complainants). Despite the extraordinarily large sums of money wired by complainants in order to have the cars exported, complainants lost their money and lost the cars. It is worth repeating again, that this is the same fact pattern of conduct that was described in the matter of *Crocus*, *supra*, and which is also described and alleged in the matter of *MAVL Capital, Inc. et al. v. Marine Transport Logistics, Inc. et al.*, FMC Docket No.: 16-16.

The question is whether or not MTL's regular, customary and repeated conduct described herein, spanning across multiple proceedings before the Commission, and over a course of years, will be analyzed as a whole, or on a case-by-case basis. It is respectfully submitted that analyzing such conduct on a case-by-case basis makes it impossible for the Presiding Officer and the Commission to ever find that such conduct amounted to a "practice" and that such analysis would run afoul of the Commission's stated mission of protecting the shipping public.

As set forth herein, respondents regularly refused to follow complainants' shipping instructions to promptly ship complainants' automobiles recently received by MTL for export until storage charges were paid for automobiles unrelated to the automobiles recently received by MTL for export. This allowed respondents to place complainants in a never-ending quicksand of debt where newer cargo would not ship promptly and would remain in storage (accruing storage charges) while complainants' ocean freight monies for the newer cargo were instead applied to pay storage charges for cars that had already been in storage for a longer period of time.

Respondents similarly regularly refused to follow complainants' shipping instructions to promptly ship complainants' automobiles recently received by MTL for export until inland freight fees were paid for cargo unrelated to the new cargo, also resulting in additional storage fees being charged as to new cargo which could have been avoided. Eventually and after complainants could no longer afford to pay these unnecessarily accrued and excessive storage charges, respondents purported to deem complainants' automobiles to be "abandoned" and/or simply exported them without instructions from complainants and released them to consignees unknown to complainants.

As explained below, Complainants have proven all of the elements of their § 41102(c) claim under the Commission's interpretative rule at 46 C.F.R. § 545.4 with respect to the seventeen (17) automobiles in that they have established that: a) MTL was acting as an NVOCC with respect to the automobiles; b) MTL's acts and omissions with regard to the automobiles that violated the Shipping Act are occurring on a normal, customary, and continuous basis; c) MTL's acts and omissions with regard to the automobiles complained of herein are directly related to and connected with the receiving, handling, storing, and/or delivering of property; d) MTL's acts and omissions with regard to the automobiles complained of herein are unjust and unreasonable;

and e) MTL's acts and omissions with regard to the automobiles complained of herein are the proximate cause of complainants' claimed loss.

II. Factual Background²

A. The Parties

Complainants CJ DELUZ NIGERIA LTD. And AVERS LOGISTICS LTD. are foreign limited liability corporations formed in, located at, and operating in Federal Republic of Nigeria with their primary place of business in Lagos, Nigeria. Complainant NNABUGWU CHINEDU ANDREW dealt directly with MTL on behalf of AVERS LOGISTICS LTD. and CJ DELUZ NIGERIA LTD. Collectively, the complainants are automobile dealers engaged in the business of purchasing automobiles from auto auctions in the United States and having them exported from the U.S. to ports abroad. (See, Complaint filed on the docket on July 17, 2020 and listed as Document No: 1, at ¶¶ 1-4, 55-56).

Respondents MTL, its President and owner, ALLA SOLOVYEVA, and its bookkeeper RAYA BAKHIREV are no strangers to the Commission as well, via the numerous filings on the docket in this matter and the two other matters before the Commission captioned as MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (FMC Docket No.: 16-16) and Crocus Investments, LLC et al. v. Marine Transport Logistics Inc. (FMC Docket No.: 15-05). See also Complaint at ¶¶ 5-11, 13, 15-16, 20, and 21 and Respondents' Answer, dated August 27, 2020 on this docket as Document No.: 7 at ¶¶ 5-11, 13, 15-16, 20, and 21. See also, FF2 through FF9.

² All facts set forth herein and in the sections set forth below are based upon Complainants' Proposed Findings of Fact which are in turn, based upon documents produced by complainants during discovery and are marked with a prefix of "CX" pursuant to the Presiding Officer's Scheduling Order of September 30, 2020. Due to the fact that respondents have not marked any of the documents produced by them as required by the Scheduling Order, complainants have marked any such documents produced by respondents and which complainants intend to rely upon with the prefix of "RX". All document produced by respondents which complainants intend to rely upon and which are marked with the prefix "RX" are annexed hereto as Appendix "F".

As the Presiding Officer is aware, MTL is an NVOCC licensed by the Federal Maritime Commission under license number 018709 and is an international shipping company, providing freight forwarding and logistics services to customers on a worldwide basis. The range of services which MTL provided to complainants included pick-up of cars from auto auctions, such as IAAI, CoPart and/or others, delivery of cars to the Port of Loading, ocean freight forwarding, air freight forwarding, cargo warehousing, customs clearance cargo consolidation services, and the following: (1) Ordering cargo to port; (2) Preparing and/or processing export declarations; (3) Booking, arranging for or confirming cargo space; (4) Preparing or processing delivery orders or dock receipts; (5) Preparing and/or processing ocean bills of lading; (6) Preparing or processing consular documents or arranging for their certification; (7) Arranging for warehouse storage; (8) Arranging for cargo insurance; (9) Clearing shipments in accordance with United States Government export regulations; (10) Preparing and/or sending advance notifications of shipments or other documents to banks, shippers, or consignees, as required; (11) Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments; and (12) Coordinating the movement of shipments from origin to vessel. See, *Id.* See also, Complaint at ¶ 54 and Answer at ¶ 54. See also, FF10 to FF21.

B. The Parties' Business Relationship

Beginning in or about April of 2016, complainants began purchasing automobiles from auto auction warehouses in the United States and having them delivered for export to MTL's storage facilities in New Jersey, Houston, Los Angeles, and Savannah via inland trucking arranged for by MTL. (FF30, 32-33) (RX0077 – RX0196). Initially, while MTL and Alla Solovyeva provided invoices which contained some charges for storage fees for the cars prior to

export, complainants were always issued a credit memo on those invoices at the time that the cars were shipped, and this practice continued up until approximately August 16, 2017. (RX0087-RX0092, RX0105–RX0108) (RX0129-RX0131, RX0136) (FF50, FF71 and FF30). At this time, the seventeen (17) subject automobiles were in the possession of MTL (FF126 – FF129) and were located at various storage facilities referenced above and at this time, respondents negotiated a flat fee arrangement with complainants where MTL and Alla Solovyeva purported to agree to a flat fee of \$300.00 for each car delivered to MTL’s warehouse for export with specific regard to the cars located in New Jersey. (FF126).

At the time of the filing of this action, the inventory of automobiles owned by complainants which MTL picked up from the auto action and delivered to its respective warehouses for export pursuant to complainants’ agreement with respondents are as follows:

MTL New Jersey Inventory of Complainants’ Automobiles:

2007 LEXUS RX350	VIN # 2T2HK31U47C022708
2001 TOYOTA CAMRY	VIN # 4T1BF22K51U966626
2004 TOYOTA CAMRY	VIN # 4T1BA32K34U502288
2002 LEXUS ES 300	VIN # JTHBF30G725019803
2003 LEXUS ES 300	VIN # JTHBF30G830101344
2002 LEXUS RX 300	VIN # JTJHF10UX20257130
2006 LEXUS GS 300	VIN # JTHBH965865006993
2007 TOYOTA AVALON	VIN # 4T1BK36B57U245968
2010 TOYOTA VENZA	VIN # 4T3BK3BBXAU030283
2010 LEXUS RX 350	VIN # 2T2BK1BA8AC039422
2009 TOYOTA VENZA	VIN # 4T3ZK11A79U017319
2011 TOYOTA VENZA	VIN # 4T3ZK3BB2BU041102
2008 HONDA ACCORD	VIN #1HGCP26728A103906
2008 LEXUS RX 350	VIN # 2T2HK31U58C080845

(FF126)

MTL Savannah Inventory of Complainants’ Automobiles:

2007 Toyota 4Runner VIN # JTEZU14R670096538

(FF127)

MTL Los Angeles Inventory of Complainants' Automobiles:

1996 Toyota Avalon VIN # 4T1BF128XTU132140

(FF128)

MTL Houston Inventory of Complainants' Automobiles:

2006 Toyota 4Runner VIN # JTEZU14R560072942

(FF129)

For each of the above listed seventeen (17) automobiles, MTL refused to inform complainants as to the status of Automobiles. For each of the above listed seventeen (17) automobiles, MTL withdrew complainants' monies held by MTL in deposit for purposes of paying for charges for ocean freight to ship said automobiles, and instead of applying said monies to promptly ship said automobiles, MTL instead applied said monies to inland freight and storage fees (not only for the seventeen (17) automobiles but for inland freight and storage fees allegedly due for other cargo), and refused to load and ship the above listed seventeen (17) automobiles to complainants.

Essentially, MTL refused to ship automobiles recently received for export, held said cargo, and caused storage charges to accrue for recently received cargo, and applied monies held by MTL in deposit by complainants towards alleged debt for storage for cargo which was received at an earlier time. This created a never-ending cycle of debt allegedly due and owing for storage charges which MTL failed in its duty to mitigate. To be clear, complainants allege that Alla Solovyeva and MTL took not only the \$300 flat fee for each car as agreed but took additional, excessive fees and overcharged complainants' account for storage for the seventeen (17) vehicles. (While the facts of the parties' transactions are set forth in more detail below, complainants up front respectfully refer the Presiding Officer to the following documents on the

issue of inland charges for the subject cars: RX0095, RX0094, RX0102, RX0110, RX120, RX0121, RX0138, RX0140, RX061, RX0163, RX0162, RX0164, RX0165, RX0167, RX0168, RX0147 and RX0090.

Additionally, and with regard to respondents' regular, customary and continuing practice described in detail below of charging excessive storage charges for the subject cars, complainants note up front the following documents for the Presiding Officer's reference: RX0082, RX0064, RX0065, RX0075, RX0066, RX0074, RX0071, RX 0073, RX0067, RX0069, RX0072, RX0068, RX0063, RX0070, RX0076–RX0086, RX0062, RX0080 and FF30. With regard to vehicles which were not the subject of the parties' agreement of \$300.00 per vehicle for storage and which had already been released (and for which complainants' ocean freight monies for newer cars were used to pay for storage for these already released vehicles), see FF30, FF32, FF33, FF94-97, RX0172-RX0175, RX0181 – RX0184, and RX0156.

On November 2, 2017, NNABUGWU CHINEDU ANDREW wrote via email on behalf of Avers Logistics Limited to MTL, and provided MTL with shipping instructions for five of the subject automobiles as follows:

“Please, this is the Vin No. of the Ro-Ro cars

2008 GS350..VIN...042192
2006 4RUNNER.....072942
2007 4RUNNER.....096538
2010 VENZA.....041102
2002 RX300.....257130

(FF119)

While complainants provide more detailed information below regarding respondents' regular, customary and continuous practice of unreasonably overcharging complainants and unreasonably ignoring complainants shipping instructions, there are a few facts worth noting up

front regarding the five vehicles listed above and which complainants requested by the above referenced email to be exported by RORO. Both the 2010 VENZA (VIN ending in 041102) and 2002 RX300 (VIN ending in 257130) were located in MTL's New Jersey warehouse, while the two 4Runners were elsewhere, one located in Savannah (VIN ending in 096538) and the other in Houston (VIN ending in 072942).

As explained below in the next few paragraphs, while MTL promised to charge only \$300 for storage for each of the two New Jersey vehicles from the \$3000.00 of complainants' monies held by MTL "...in order to get a permit to bring these two cars to the port today..." (FF120), the VENZA (VIN ending in 041102) was not shipped and remained in storage for eight (8) months without any justification (FF156, FF189), after which time respondents unreasonably charged the sum of \$4300.00 for storage for this car instead of \$300.00 as originally promised by and agreed to by MTL (RX0067) at which time the car was eventually shipped. (FF120-FF122, RX0067). The inland charges for this car had been prepaid on June 15, 2017 (RX0161). (See also, FF30)

With regard to the 2002 RX300 (VIN ending in 257130), that car was *never shipped at all* despite complainants' instructions to ship the car, all the while respondents charged \$4390.00 for storage for this car, plus \$250.00 for inland freight (RX0062, RX0168). See also, FF30. As additionally explained below, and with regard to the two 4Runners located in Savannah (VIN ending in 096538) and Houston (VIN ending in 072942), despite complainants' instructions to ship them both by RORO on November 2, 2017, respondents failed to do so. Approximately three (3) months later, complainants agreed to respondents' proposal on January 30, 2018 to export those cars by consolidation with others (FF123-FF125). On January 31, 2018, MTL charged and withdrew money from complainants' account with MTL for storage for these two

cars (and also agreed to rates of \$1100 for ocean freight from Houston and \$900 from Savannah, excluding inland transportation which had already been prepaid) but ultimately did not follow complainants' shipping instructions and never exported the cars. (FF123-FF125).

With regard to the cars identified in complainants' November 2, 2017 email described above, the details are as follows:

The 2010 VENZA (VIN ending in 041102)

On November 3, 2017 at 15:36, Denis Zenkovich of MTL, wrote via email, on behalf of MTL, to complainants, as follows:

“ Sir, Chinedu 2010 VENZA.....041102
2002 RX300.....257130

....You agree to pay for the storage \$300/per vehicle. Could I take \$300 per vehicle from your last payment (\$3000) for the warehouse in order to get a permit to bring these two cars to the port today...

(FF 120)

On November 3, 2017 complainants confirmed that they would pay respondents' demand for a flat fee for storage of \$300.00 per automobile for a 2010 VENZA (VIN ending in 041102) and 2002 RX300 VIN ending in 257130) still in MTL's New Jersey warehouse to MTL, together with other charges which would be due after the containers were shipped by MTL. (FF120-122).

On June 21, 2018, MTL provided by email an MSC Bill of Lading No.: MSCUWK903927, dated May 22, 2018, which contains the following information:

BOOKING REF. 038CHI1556516

POL NEW YORK

POD TINCAN/LAGOS, NIGERIA

Container No. TCNU2645133

AES ITN: 20180411653898

Shipper: Marine Transport Logistics Inc., 63 New Hook Road, Bayonne NJ 07002

REF# EO – 50566

Consignee: ALJ Forwarders Services Limited, 18 Payne Crescent, Apapa Nigeria

Notify Parties: Segzymoore Auto Lounge, 117 Awolowo Way, Ikeja, Lagos
001234 Nigeria

(FF156)

On June 28, 2018, Complainants were advised that the container with the following vehicles was at the destination (Port of Tincan/Lagos):

2010 Lexus RX350 (Vin#2T2BK1BA8AC039422);
2009 Toyota Venza (Vin#4T3ZK11A79U017319);
2008 Lexus RX350 (Vin#2T2HK31U58C080845);
2011 Toyota Venza (Vin#4T3ZK3BB2BU041102);
2008 Honda Accord (Vin#1HGCP26728A103906)

(FF189)

The 2011 Toyota Venza (Vin#4T3ZK3BB2BU041102) was loaded after approximately eight (8) months from complainants' original request, and complainants were charged for storage in the sum of \$4,300.00 instead \$300.00 as originally promised and agreed by MTL. (RX0067). The inland charges were prepaid on June 15, 2017 was also paid (RX0161) See also, FF30. This vehicle was never received by complainants.

The two 4Runners located in Savannah (VIN ending in 096538) and Houston (VIN ending in 072942)

On January 30, 2018, after the two 4Runners had remained in storage, without explanation from MTL for an additional three (3) months, complainants agreed not to proceed with their original request to MTL to export 2 cars from Houston and Savanna by Ro-Ro (FF119), but instead, accepted a proposal from MTL to export those cars by consolidation with others cars in containers, to wit, following cars:

2006 4RUNNER.....072942
2007 4RUNNER.....096538

At that time, cars were located in Houston and Savannah (and arrangements were made to deliver them to MTL's NJ warehouse via loading and containerization). (FF123 – FF125). MTL charged and withdrew money from complainants' account for storage and inland charge for these two cars but did not follow the complainants' shipping instructions and never exported them. FF30, RX082, RX095 and RX080, RX096. More specifically and as set forth in the aforementioned proposed finding of fact FF30 and in respondents' documents, MTL charged for storage of the 2006 4RUNNER in Houston (VIN ending in 072942) in the sum of \$2,240.00 for storage up to May 1, 2018 (RX080) and for storage of the 2007 4RUNNER in Savannah (VIN ending in 096538) the sum of \$2,230.00 for storage up to May 1, 2018 (RX082).

Alla Solovyeva Continues to Confirm an Agreement of \$300.00 Flat Fee Per Car for Storage of Cars at MTL's New Jersey Warehouse But Continues the Practice of Charging Excessive Storage Fees

On February 1, 2018, Alla Solovyeva confirmed with Complainants that the Ocean Freight Rate by container from NYC to TIN by COSCO Ocean Liner will be \$2700.00. (FF145).

On March 5, 2018, Alla Solovyeva wrote, multiple times, to complainants via email on behalf of herself and MTL as follows:

I agree with \$300/car last year....I gave you confirmation for storage only in NY...**Alla**
(FF146)

Again I agreed to accept \$300/car for the NJ inventory...**Alla**
(FF147)

Complainants confirmed their agreement to this arrangement. (FF148)

Additional Facts Regarding Respondents' Regular, Customary and Continuing Unreasonable Practices of Deliberately Misapplying Complainants' Ocean Freight Monies Towards Storage Charges and in Charging Excessive Storage Charges

The Presiding Officer is respectfully referred to complainants' proposed findings of fact Nos.: 43-48, which explain that on March 28, 2017, respondents received a wire transfer from complainants and that the wire identified that the monies were to be used for "SHIPPING FOR AVERS LOGISTICS" and not for storage. These monies were instead unlawfully applied by MTL towards storage charges for a vehicle as set forth in the invoices recently produced by MTL in the course of discovery in this matter. (See, e.g. RX0178). Similarly, on June 15, 2017, respondents received a wire transfer from complainants in the sum of \$6,485.00 for "SHIPPING FOR ONONAKU CHIMEZIE" and these monies were similarly misapplied towards numerous "PickupOrder" charges and storage charges (FF59-FF61) and (RX0219-RX0220).

With regard to complainants' 2006 4Runner located in Houston, complainants' proposed findings of fact Nos.: 100-101 demonstrate that complainants twice wire monies to respondents for this car: first on April 18, 2018 in the sum of \$1,350.00 and then on April 19, 2018 in the sum of \$6,350.00. With regard to the first wire, respondents have failed to provide any documents showing how these monies were applied (since RX0030 contains no indication that the wire of \$1,350.00 was applied to any invoice, it appears that respondents simply kept this money). With regard to the wire of \$6,350.00, that wire was applied to an invoice for charges for other cars in the total sum of \$4025.00 (see, FF105 and RX0061).

C. *The Parties' Business Relationship as Explained by Former MTL Employee Denis Zenkovich*

Denis Zenkovich was employed by respondent Marine Transport Logistics Inc. ("MTL") between September 2017 and May 2018. During that time, he worked for MTL in the capacity of Manager of the Roll-On/Roll-Off ("RORO") Department, and during the course of his duties, he

answered and reported directly to respondents Alla Solovyeva and Aleksander Solovyev, who made the executive decisions regarding the day-to-day operations of MTL. (FF 173)

Mr. Zenkovich was intimately involved in MTL's export activities in the RORO Department as they pertain to the complainants herein and has personal knowledge regarding the facts relevant to this matter. (FF 174) By the time Mr. Zenkovich began his tenure with MTL, complainants had already been an established customer of MTL for a period of multiple years under specific terms and conditions, including, but not limited to the following:

- a) MTL accepted (by delivery from an auto auction warehouse) into its possession, custody, and control various automobiles already specifically designated by complainants for export overseas by RORO;
- b) if said automobiles had issues preventing them from being exported by RORO (for example, missing keys, car not drivable, etc.) then MTL was under a duty to refuse to accept delivery of the automobiles (already specifically designated for export) from the auto auction warehouse;
- c) if said automobiles had issues preventing them from being exported by RORO and the vehicles were already at MTL's storage facility, then respondents were under a duty to immediately notify complainants that there was an issue, and respondents were also obligated to immediately notify complainants that storage charges would continue to accrue until the issues were resolved and attempt to proceed by other methods (such as containerization of the cars in order to have them expeditiously exported);
- d) with specific regard to complainants' obligation to pay monies to respondents for ocean freight, pick up service (inland freight), and storage charges for the subject automobiles, that obligation was memorialized in writing in two documents issued by MTL, to wit: the MTL Invoices and the MTL House Bills of Lading, which state that complainants' obligation to pay for ocean freight and any extra charges (such as Inland Freight and storage charges) did not materialize until after the ocean liner carrying the automobiles had sailed and complainants had either ten (10) business days or two (2) weeks to pay their invoices after the date of sailing.

(FF 175)

As to complainants' automobiles which are the subject of this proceeding, during the time of Mr. Zenkovich's service agreement with MTL, it was the common business practice and method of operation for Alla Solovyeva and Aleksandr Solovyev of MTL to accept into their possession, custody, and control the automobiles already specifically designated by complainants for export overseas by RORO, regardless of whether said automobiles had issues preventing them from being exported by RORO (for example, missing keys, car not drivable, etc.). (FF 176)

Whereas other NVOCC's would either: (1) simply outright refuse to accept delivery of the automobiles (already specifically designated for export) from the auto auction warehouse if they had issues preventing them from being exported by RORO; or (2) immediately inform the shipper that there were issues which could potentially cause substantial delay in exporting the automobiles, in all cases, MTL accepted the automobiles into their possession, custody, and control, and then Alla Solovyeva sent instructions to all employees of MTL wherein she restricted communication with complainants by phone and email, resulting in the subject automobiles sitting in storage for months without any notification whatsoever to complainants that storage charges were accumulating, even if complainants previously asked and Alla Solovyeva/MTL had agreed for the cars to be exported by RORO or via containerization. (FF 177)

MTL simply sat on their hands and failed in their duties to immediately inform the shipper that there were issues causing the accumulation of storage charges. - - This mode and method of practice was a money making machine for Alla Solovyeva, Aleksander Solovyev, and MTL inasmuch as it allowed for significant amounts of storage charges to accrue for the vehicles. (FF 178)

To the extent that complainants herein had forwarded monies to MTL from time to time (when the exchange rate for Nigerian Naira to U.S. Dollar was favorable for complainants to do so) which MTL essentially kept in 'escrow' to be applied specifically against charges for ocean freight, Pick Up Service (Inland Freight) and shipment of specific vehicles as instructed by complainants, the respondents' mode and method of practice allowed for the creation of a situation where complainants had a constant debt with respondents, thus providing respondents with a pretext for refusing to apply complainants' monies for shipment of vehicles recently delivered for export, instead always claiming that claimants owed monies for past due storage charges on vehicles previously received. (FF 179) Respondents' mode and method of practice in failing in their NVOCC duties to immediately inform the shipper that there were issues which could potentially cause substantial delay in exporting the automobiles (and that storage charges were accruing), allowed for respondents to continue to extort additional monies from complainants. (FF 180)

As explained above, the monies which complainants had forwarded to respondents from time to time were monies which respondents kept in 'escrow' for complainants. These monies were designated to be used to pay for ocean freight and for Inland Freight which was charged by respondents after the ocean liner carrying the automobiles had sailed. See, Zenkovich Affidavit (FF 181) With regard to the New Jersey vehicles described above, complainants requested that all cars in New Jersey that could be ready to ship should go to RORO or be loaded into containers, and after Alla Solovyeva agreed to export the cars and withdrew funds from the account where she was keeping complainants' monies in escrow, she interfered with complainants' request to export and prevented anyone at MTL from explaining the situation to

the complainants. She did this deliberately in order to allow additional storage charges to accrue. (FF 182)

Pursuant to the parties' normal business custom and practice described above, respondents accepted the automobiles for delivery to MTL's warehouse, loaded them (either by RORO or by container), and shipped them. It was only after the shipment that Alla Solovyeva should have issued the invoice (including all expenses) and bill of lading and informed complainants that there may not have been enough monies in 'escrow' to cover charges for ocean freight. Her failure to do this was an obvious refusal to deal fairly and negotiate with complainants. (FF 183)

During this time period, MTL additionally generated as part of its business records various shipping documents, including MTL House Bills of Lading and invoices, which despite numerous requests from complainants that they be provided with copies of same, the respondents deliberately refused to provide. Respondents did not even generate shipping invoices in their own system for a period of months after the automobiles had been exported by ocean liner. (FF 184) Mr. Zenkovich personally participated in a negotiation involving complainants and MTL (and specifically Alla Solovyeva) regarding the export vehicles at issue due to MTL having unnecessarily allowed storage charges to accrue for automobiles which should have already been exported, but for MTL's delay. Ultimately an agreement was reached between complainants and MTL/Alla Solovyeva that complainants would pay storage charges of up to \$500 per automobile in order to have them shipped. On the basis of this deal having been reached, Alla Solovyeva even raised Mr. Zenkovich's salary. (FF 185)

While Alla Solovyeva/MTL ultimately reached an agreement with complainants to export the subject automobiles, MTL should have issued the invoices for ocean freight and other charges (such as storage) after the shipments sailed. See, Zenkovich Affidavit (FF 186)

- D. *Prior to the Parties' Instant Dispute They Engaged in a Regular Course of Business (based upon MTL's Terms and Conditions Set forth in MTL's Invoices) Wherein Complainants Paid for Ocean Freight and Other Charges **After** the Automobiles had shipped and **After** Complainants Were Provided with an Ocean Liner Bill of Lading, MTL HBOL and Invoice (which included Charges for Ocean Freight, Inland Freight and Other Charges)*

As set forth above, complainants explain that Alla Solovyeva and MTL deliberately placed complainants into a never-ending quicksand of debt, refusing to ship cars allegedly due to storage charges due and owing for unrelated cars which had already been released, thus causing the cars at issue to remain in storage and continue to unnecessarily accrue storage charges.³ The following facts are being presented to demonstrate that there was absolutely no basis for MTL to refuse to ship complainants' automobiles already in their possession, since prior to their dispute, the parties engaged in a regular course of business (based upon MTL's terms and conditions in its invoices) wherein complainants paid for ocean freight and other charges **after** the automobiles had shipped and after complainants were provided with an MTL HBOL and Invoice. On this issue the Presiding Officer is respectfully referred to FF35-39, FF42, FF59-63, FF72, FF76, FF78, FF86, FF92-93 and FF105.

³ It is alleged in the Complaint that MTL failed to provide complainants with the reason why MTL was not applying monies for ocean freight, inland charges and other charges at the time of export; that MTL deliberately refused to do so in order to prevent the cars from being exported right away; and that MTL rather used the money to cover old storage charges in order to keep the cars in perpetual storage. Put simply, new cars came into MTL's facility and sat there accruing storage charges while complainants' monies for ocean freight for the new cars were used to cover storage charges for cars that had been at the facility prior to the delivery of the newer cars.

E. *MTL's Transaction Listing Contains Invoices for Storage and Inland Freight for the 17 Cars and in those Seventeen (17) Invoices, The Shippers Were Always the Complainants and All Seventeen (17) Invoices Were Paid*

Respondents have already taken the incredible position that: a) they were not acting in the capacity of NVOCC with respect to the cars; b) the cars were salvage cars; and c) MTL's role was simply storage of the cars, allowing them to deem the cars abandoned after storage charges were allegedly unpaid. MTL's position on this issue is flatly contradicted by the fact that each and every shipping invoice (for inland, storage and other charges) produced by MTL during discovery in this matter identify the complainants as "shipper" and also list "terms and conditions" indicating that payment of the invoices was always due "no later than 10 business days ***after the sailing date***". The invoices were fully paid by the shipper but the cars were never exported by MTL. On this issue the Presiding Officer is respectfully referred to FF30 and FF27.

F. *At All Times, Complainants Had a Positive Balance on Account with MTL*

On the issue of MTL's regular and customary practice of overcharging complainants for storage, as set forth above, the parties ultimately came to an agreement for storage charges in the sum of \$300 per car. On October 11, 2017, MTL admitted that complainants still had \$5954.00 of their monies still available in their account with MTL (to be used for ocean freight). At this point in time, all seventeen (17) cars at issue in this matter were in the possession, custody and control of MTL. (See FF113). The MTL Payment Receipts dated November 10, 2017 and December 5, 2017 indicate that there was no outstanding balance owed by complainants. (See FF114 – FF117).

Despite the existence of complainants' positive balance with MTL and the purported agreement of \$300.00 storage per car, MTL and Alla Solovyeva unlawfully used complainants' monies on account to charge for storage for cars that had already been released instead of

applying these monies for ocean freight. Additionally, and in doing so, they overcharged complainants in excess of \$300.00 per car. See, pp. 8-9 of this brief for the listing of all documents on the issue of excessive storage charges for the fourteen vehicles located in New Jersey. See also, FF30.

G. *Alla Solovyeva Admitted That She Is Personally Liable As The Qualifying Individual for MTL (QI) and that she Personally Gave Instructions to MTL Not to Load Complainants' Cars and Not to Provide Quotes Complainants for Ocean Freight*

On the issue of the personal liability of Alla Solovyeva being personal liable as QI, as well as Raya Bakhirev's personal involvement in the matters set forth herein resulting in her own personal liability, the Presiding Officer is respectfully referred to the Zenkovich Affidavit and the emails of Alla Solovyeva.

H. *Respondents Engaged in a Regular, Customary and Continuing Unreasonable Practice of Refusing to Provide Invoices to Customers*

As set forth above, it is alleged that complainants were continually kept in the dark as to how their ocean freight monies were being applied for specific vehicles and that this was done so deliberately so that Alla Solovyeva and Raya Bakhirev could play accounting games and apply complainants monies for excessive storage charges over and above \$300.00 per car, as well as apply the ocean freight monies to cars that had already been released. This provided respondents with a pretext to refuse to ship other cars ready for export because there were allegedly no monies remaining to pay ocean freight. On this issue the Presiding Officer is asked to note that discovery in this matter has confirmed that respondents did not and cannot produce any proof that the invoices produced by them now in these proceedings were ever emailed and provided to complainants during the course of their business relationship. On this issue, complainants again repeat and reiterate that this was same conduct which MTL was guilty of in the matter of Crocus,

supra with regard to the Formula boat belonging to complainants therein, where MTL charged excessive storage fees and did not provide storage invoices for approximately one year.

Not only did respondents engage in this practice to cover up their unlawful application of monies for storage fees, but this was also done in order to cover up their mishandling of complainants cargo that had actually been exported. For example, the Presiding Officer is referred to invoice at RX0061 which demonstrates that complainants were charged \$3000.00 for ocean freight for five (5) cars inside of a 40 foot High Cube (HC) container, however, as set forth herein, in reality respondents shipped three (3) cars inside the container, plus an additional two of complainants' cars which respondents had bizarrely and incredibly cut in half and loaded into the container, together with a pallet of goods which did not belong to complainants. It requires a temporary suspension of belief in reality if respondents actually thought that destroying two cars, shipping a pallet of garbage, hiding the invoices and charging complainants for it all (in the sum of \$1000.00) was a "reasonable" practice related to the shipping, handling and storage of complainants' cargo. Complainants also charged complainants ocean freight for shipment of five cars plus the pallet when in reality they shipped three (whole) cars. This incorrect number of cars was also listed on the ocean liner bill of lading, MTL's House Bill of Lading, Dock Receipt and AES Shipment records.

III. The Presiding Officer Has Directed Complainants to Address in this Brief the Respondents' Failure to Produce Relevant Discovery

As stated in Complainants' June 17, 2021 Motion for Reconsideration, the complainants still have not received the Ocean Liner Bills of Lading, Dock Receipts, MTL House Bills of Lading, Shipper's Export Declarations filed online through AES, and invoices for ocean freight (together with proof of when and to whom they were presented and how they were paid) for the following four automobiles at issue in the Complaint:

MAKE	MODEL	YEAR	VIN ENDING IN
Lexus	GS 300	2006	6993
Toyota	Avalon	2007	5968
Toyota	Venza	2010	0283
Toyota	Camry	2004	2288

With regard to the single container (containing three automobiles together with two automobiles which had been cut in half, and five pallets with goods), that container was listed on page “2” of the parties Joint Status Report and on the MSC Bill of Lading and MTL Bill of Lading (attached to the Complaint as Appendix “B”) and also identified in paragraphs “141-144” and “169-171” of the Complaint, for which complainants seek only the copies of the AES declarations, proofs of filing, printouts and/or confirmations which relate to the automobiles contained therein.⁴

The discovery sought by complainants herein and which was not produced by respondents is directly relevant to the allegations in the complaint identified above. Complainants’ requests for the Ocean Liner Bills of Lading, MTL House Bills of Lading, Shipper’s Export Declarations filed online with U.S. Customs and the Department of Commerce and through the Automated Export System (“AES”), and invoices for ocean freight and other charges for the seventeen (17) automobiles at issue in this matter were identified in the May 6, 2021 Order on Motions to Compel at page “3” thereof (Demand Nos.: 1 through 8).

⁴ As set forth in the parties’ Joint Status Report, it was explained to counsel for MTL via email that even without the Presiding Officer’s Order of May 6, 2021, the AES records must be produced upon demand of the shipper pursuant to Section 30.3 of the Foreign Trade Regulations and the Shipping Act of 1984 as amended by the Ocean Shipping Reform Act of 1998.

Production of the AES records, Ocean Liner Bills of Lading, MTL House Bills of Lading, Dock Receipts and Invoices for Ocean Freight and Proof of How and When They Were Paid Is Required In Order To Establish The Five Elements Required In Order To Maintain A Cause Of Action Under 46 U.S.C § 41102(c)

In the matter at bar, it is respectfully submitted that the issue here is not whether or not MTL's documents are 'non-responsive' but rather that the Ocean Liner Bills of Lading, MTL House Bills of Lading, Dock Receipts, AES Declarations and invoices for ocean freight *were never produced in this matter* - - this is not a mere "disagreement" over factual issues, but rather, while in some instances respondents agreed to produce the documents requested in their responses to complainants document demands, the documents attached to their responses were not the above listed documents.

2004 Toyota Camry VIN Ending in 2288

Without rehashing Complainants' June 17, 2021 Motion, which is incorporated herein, complainants additionally ask the Presiding Officer to note that in opposition to complainants' June 17, 2021 Motion and long after discovery was closed in this matter, MTL graciously decided to 'throw us a bone' and annexed to its opposition as MTL's Exhibit "3" a Dock Receipt for the 2004 Toyota Camry VIN ending in 2288, which clearly identifies MTL as the forwarding agent for this shipment. The import of this document, produced now ***for the first time*** is that MTL is also in possession of the Ocean Liner Bill of Lading, MTL House Bill of Lading, and AES Shipper's Export Declaration for this shipment and has not produced them. MTL could simply have 'pressed the button' on its computers in order to print these documents.⁵

⁵ MTL's Exhibit "3" purported Dock Receipt raises issues as to its authenticity in that the version produced by MTL (without any stamps, proof of receipt by the receiving port of loading) is missing crucial information required in order for this document to be used during the export process which is also why the corresponding ocean Liner Bill of Lading, MTL House Bill of Lading, and AES Shipper's Export Declaration for this shipment are required.

2010 Toyota Venza VIN Ending in 0283

On page “3” of MTL’s opposition to Complainants’ June 17, 2021 Motion, Mr. Pogil argues that with regard to the 2010 Toyota Venza VIN ending in 0283, the “...vehicle was released to Segzymoore Auto Lounge...” and identifies MTL document entitled “Cargo Release” annexed to Mr. Pogil’s opposition papers as Exhibit “2”. Mr. Pogil then argues that complainants were free to subpoena the documents from Segzymoore but do not explain why they did not...”. At this juncture, we note that it requires a temporary suspension of belief in reality in order for MTL and its counsel to argue in good faith that Segzymoore Auto Lounge, located in Nigeria and outside this Commission’s jurisdiction and enforcement would ever respond to a subpoena. Conspicuously absent from MTL’s argument regarding this car is any explanation as to why MTL refuses to produce the Ocean Liner Bill of Lading, MTL House Bill of Lading, full page copy of the MTL Dock Receipt⁶, and AES Shipper’s Export Declaration for this shipment. MTL is clearly in possession of these documents.

Container #TCNU 2645133 MTL BOL#41677 Annexed as Exhibit “B” to the Complaint

With regard to the single container (containing three automobiles together with two automobiles which had been cut in half, and five pallets with goods) MTL BOL#41677 annexed as Exhibit “B” to the Complaint, Mr. Pogil argues on pages “3” and “4” that complainants have some ulterior motive in seeking the AES shipper’s export declaration for this container. On this issue we have provided the Presiding Officer with two alternate versions of MTL’s Dock Receipt for the cars in this container, both annexed as Appendix “A” to Complainants’ July 30, 2021 Motion. The first Dock Receipt (Bates No.: CX002) was annexed as Appendix “B” to Complainants’ Complaint and lists CJ Deluz Nigeria Limited as the Exporter and Nnabugwu

⁶ Complainants are in possession of a half page of the MTL Dock Receipt due to MTL’s refusal to provide the full page copy of this Dock Receipt and MTL has not explained the basis for its refusal to provide this document.

Chinedu Andrew as the Consignee. The Second Dock Receipt, produced by respondents in discovery in this matter, lists MTL as the Exporter and ALJ Forwarders Services Limited as the Consignee. All other information on both Dock Receipts is the same - - given that complainants have previously established MTL's regular practice of creating false documents for use in these proceedings, it requires no mental jumping jacks to conclude that one of these two Dock Receipts for this shipment is not true and accurate, and maybe, that MTL will print a third version and annex that to its Findings of Fact and Conclusions of Law.

In any event, it is impossible to present an automobile for export to the ocean terminal authorities using multiple dock receipts containing different information for the same container.

In the absence of the production of the AES Shipper's Export Declaration for this container (which is filed with the U.S. Federal Export Regimes under penalty of perjury), the Presiding Officer is faced with the problem of how to determine who were the true exporters and consignees for this shipment and which is the true version of the Dock Receipt. This is why the entire puzzle must be completed by the production of the shipping documents requested herein.

IV. STANDARD OF REVIEW

A. Elements Required to Prove a §41102(c) Claim

Section 41102(c) of Title 46 provides that common carriers and other regulated entities “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission clarified the elements required to prove a § 41102(c) claim in rulemaking proceedings (Docket No. 18-06) finalized in December 2018. Final Rule: Interpretive Rule, Shipping Act of 1984 (Final Rule), 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); Notice of Proposed Rulemaking, Interpretive Rule, Shipping Act of 1984 (NPRM), 83

Fed. Reg. 45367, 45367-45372 (Sept. 7, 2018). The Final Rule, codified at 46 C.F.R. § 545.4, clarifies that § 41102(c) is not violated by a single act or omission (even if unjust or unreasonable), but rather applies to conduct that is normal, customary, and continuous.⁷

(While reserving all rights as set forth above) under § 545.4, a complainant must prove five elements to establish a successful § 41102(c) claim for reparations:

- The respondent must be an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
 - The “claimed acts or omissions” must occur on a “normal, customary, and continuous basis;”
 - The practice or regulation relates to or is connected with “receiving, handling, storing or delivering property;”
 - The practice is unjust or unreasonable; and
 - The practice or regulation is the proximate cause of the claimed loss.
- 46 C.F.R. § 545.4; see also Final Rule and NPRM.

V. MTL ACTED AS AN OTI WITH REGARD TO THE SUBJECT AUTOMOBILES

Standard of Review

The Presiding Officer is well versed in the methodology for determining if an entity is operating as an NVOCC. See, e.g., Worldwide Relocations-Possible Violations of the Shipping

⁷ As set forth below, complainants argue that the Interpretive Rule should not be applied retroactively as to reward the respondents by finding that their Shipping Act violations occurred in isolated instances rather than as part of a conduct that was normal, customary, and continuous, resulting in dismissal of an action before the Commission for violations of §41102(c). In particular, the Interpretive Rule should not be applied to acts that occurred prior to its adoption in 2018. As of the time of this writing, the issue of the Commission’s (arguably improper and erroneous) retroactive application of the Interpretive Rule to violations of §41102(c) has been brought to the D.C. Circuit Court of Appeals for review and consideration by Petition filed by complainants in the matter of *Crocus Investments, LLC et al. v. Marine Transport Logistics, Inc.* (FMC Docket No.: 15-04) in response to the Commission’s Order Affirming Initial Decision on Remand, dated August 18, 2021. **While reserving all rights**, complainants herein nevertheless argue that MTL’s unlawful and unreasonable practices set forth herein, occurred on a normal, customary, and continuous basis.

Act, 32 S.R.R. 495, 2012 FMC LEXIS 23 [FMC 2012]; Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd., 31 S.R.R. 1831, 2011 FMC 9 [ALJ 2011], 31 S.R.R. at 1842-43).⁸

Up front, MTL held itself out to the public to be a provider of OTI services.⁹ For instance, the Commission has determined that a broad swath of conduct falls within the scope of NVOCC activities. Id. (citing 46 C.F.R. § 515.2[k]), and that this determination is made more difficult where, as here, the parties seem to operate without much documentation and/or respect for corporate or other formalities.¹⁰

⁸ As to Worldwide Relocations, *supra*, the Presiding Officer may recall the well-established methodology to determine if an entity is operating as an NVOCC: to determine if an entity is a common carrier, it is important to consider all factors present in each case and to determine their combined effect. See, Worldwide Relocations, *supra*, (citing, Activities, Tariff Filing Practices and Carrier Status of Containerships Inc., 9 F.M.C. 56 [F.M.C. 1965])). The Commission has indicated that it will “look beyond documentary labels.” Id. For example, “it is the status of the carrier, common or otherwise, that dictates the ingredients of shipping documents; it is not the documentation that determines carrier status.” Id. To determine whether an entity meets this standard, it is necessary to examine the entity’s conduct on that shipment. Id. (citing Bonding of Non-Vessel-Operating Common Carriers, 25 S.R.R. [1679] [F.M.C. 1991]; Low Cost Shipping, Inc., 27 S.R.R. 686 [F.M.C. 1996] [entity found to be operating as an NVOCC on some shipments and as an Ocean Freight Forwarder on other shipments]). This is a fact intensive inquiry. Id. “Resolution of that factual question requires an examination of each entity’s conduct on a particular shipment to determine whether it operated as either an NVOCC or an Ocean Freight Forwarder on that shipment. Accordingly, after explaining how the evidence was weighed, each shipment alleged will be reviewed individually.” Id.

⁹ Additionally, in Worldwide Relocations, *supra*, the Commission affirmed the ALJ’s articulation of the Commission’s approach to determining NVOCC status, to wit: “Holding out”. Id. “In answering the question of whether an entity is operating as an NVOCC, the Commission first determines whether the entity was ‘holding itself out to the general public to provide transportation by water.’ 46 C.F.R. §515.2(f).” Id. “Among ocean transportation intermediaries, only an NVOCC holds ‘...itself out to the general public to provide transportation by water...’ An OFF does not pass this threshold question. A person or entity may hold out to the public “by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise.” Id. (citing Common Carriers by Water - Status of Express Companies, Truck Lines and Other Non-Vessel Carriers, 1 S.R.R. 292 [FMC 1961]). The FMC has previously found that advertising and solicitations to the public are important factors in determining the issue of “holding out” by an entity. Id. (citing Containerships, *supra*, 6 S.R.R. 483 [FMC 1965]). “As to inferences or presumptions on the ‘holding out’ issue: A party in a Shipping Act case has several different methods of proving violations of the Act. In some cases, such as the case here, where the ALJ reviews conduct on a number of shipments that satisfies a preponderance of evidence on an element, such as ‘holding out,’ the ALJ may draw reasonable inferences that a person or entity acted similarly in handling another shipment when the evidence is not available on that element for that shipment.” Id. The Commission has previously determined that such inferences are permissible. Id. (citing Containerships, *supra*, 9 F.M.C. at 62 [“The most frequently mentioned characteristic is that a common carrier by course of conduct holds himself out to accept goods from whomever offered to the extent of his ability to carry.”]).

¹⁰ As to the holdings set forth in Worldwide Relocations, *supra*, that matter is also relevant to the extent that an evaluation of the parties course of conduct also indicates that it was MTL’s routine practice for the shipment of cargo shipped by complainants for MTL to issue and provide relevant shipping documents (such as an MTL House Bill of Lading and Dock Receipt) only **after** the cargo had been loaded and the ocean liner had departed from the port of origin, and for MTL to collect charges for Ocean Freight pursuant to its invoices only **after** the cargo had

As set forth below, there are numerous facts supporting the conclusion that MTL had acted as an OTI (in some instances as an NVOCC and in others as an Ocean Freight Forwarder) with specific regard to the subject automobiles.

Industry Process and Documentation

The role of an NVOCC is to act as an intermediary for ocean transport. NVOCC's are by definition a common carrier. They do not operate their own ships, but instead contract with ocean carriers for space on the vessels they operate and resell that space to the shipping public. The ocean carriers they buy from are called Vessel-Operating-Common-Carriers or VOCC's. Note that both NVOCC's and VOCC's are common carriers. The NVOCC issues a House Bill of Lading (House Bill) with their own customer as Exporter/Shipper and/or Consignee in the designated box(es). Cargo moved by ocean will always move under a Bill of Lading.

The importance of Bills of Lading goes back many centuries. This document has evolved over time as a negotiable instrument used in banking and documentary collection. A Bill of Lading is a contract of carriage that provides *Prima Facie* evidence of the following:

- a. *Receipt of cargo*¹¹
- b. *Goods are onboard the vessel*¹²
- c. *Cargo received in good condition (absent of exceptions)*¹³

Author William Winters further defines the importance of the Bill of Lading as part of the *commercial set*:

In the ordinary commercial transaction there are four documents which collectively are known as a commercial set. These documents represent and take place of the goods

already left the port of origin. See, Worldwide Relocations, *supra* at p. 6 (citing Fed. R. Evid. 406 and explaining that "[e]vidence . . . of the routine practice of an organization . . . is relevant to prove that the conduct of the person or organization on a particular occasion was in conformity with the habit or routine practice").

¹¹ Buckley, James. The Business of Shipping. 8th ed. (Maryland: CMP, 2008) p. 351

¹² Winter, William. Marine Insurance: Its Principles and Practices. 3rd ed. (New York: MH, 1952) p. 316

¹³ Gilmore, Grant. The Law of Admiralty. 2nd ed. (New York: TFP, 1975) p. 141

themselves in the financing of the transaction and pass current in all markets of the world. They are:

- 1. The invoice, which is the merchant's bill for the goods and set forth the terms of sale*
- 2. The bill of lading, which is the carrier's receipt for the goods*
- 3. The insurance certificate or special policy, which is the document of guarantee*
- 4. The draft of bill of exchange, which is the merchant's payment¹⁴*

In the case at bar, MTL acted in the capacity of NVOCC and also as that of freight forwarder, for example, when it prepared and filed Electronic Export Information with the U.S. Department of Commerce, Census Bureau, and presented the certificates of title for the subject vehicles at the time of export, together with other shipping paperwork to CBP and to the Ocean Liner, arranged for the loading and containerization of the subject vehicles at the port of loading in New Jersey.

As the Presiding Officer may be aware, the U.S. Department of Commerce's Bureau of Industry and Security (BIS) administers and enforces export controls for the Department of Commerce through the Federal Export Administration Regulations ("EAR") under the authority of the International Emergency Economic Powers Act (IEEPA)¹⁵. While the instant proceeding is not a criminal proceeding, the Presiding Officer is respectfully referred to the criminal case summaries from the BIS's report from investigating of export control violations (which are described in detail in pp. 36-39 of Complainants' Remand Brief, dated March 17, 2021 in the

¹⁴ Winter, William. Marine Insurance: Its Principles and Practices. 3rd ed. (New York: MH, 1952) p. 51

¹⁵ Although the Export Administration Act expired on August 20, 2001, the President, through Executive Order 13222 of August 17, 2001, 3 CFR, 2001 Comp., p. 783 (2002), as amended by Executive Order 13637 of March 8, 2013, 78 FR 16129 (March 13, 2013) and as extended by successive Presidential Notices, the most recent being that of August 4, 2016, 81 FR 52587 (August 8, 2016), has continued the Export Administration Regulations in effect under the International Emergency Economic Powers Act (50 U.S.C. § 1701 *et seq.* (2006 & Supp. IV 2010)). BIS continues to carry out the provisions of the Export Administration Act, as appropriate and to the extent permitted by law, pursuant to Executive Order 13222 as amended by Executive Order 13637.

matter of MAVL, supra, FMC Docket No.: 16-16, Document No.: 66) not to show that MTL has violated the EAR (which is undisputable), but rather to highlight for the Presiding Officer, that by virtue of MTL having committed the unlawful acts for which others have been severely penalized and imprisoned, that MTL has, in its capacity as NVOCC, violated the Shipping Act repeatedly as part of a normal, customary, and continuous basis in its regular course of business.

Pursuant to the EAR, Complainants Have Established That MTL Violated the Shipping Act

As set forth herein, respondents have made false and material misrepresentations of fact in the AES Shipment Records filed with the U.S. Census Bureau with specific regard to the subject automobiles. As explained herein, respondents identified consignees and exporters on a dock receipt which complainants had absolutely no business dealings with (to wit: Segzymoore Auto Lounge and AVET EXOTO Inc. See, FF131-FF134, FF137-FF139, FF156-FF151, FF189. Those cars were exported without instructions or permission from complainants and released without instructions or permission from complainants. The information on the Dock Receipt should mirror the information on the AES records, and as set forth above, the AES records have not been produced and are the subject of complainants' request for discovery. Those records will contain information regarding which consignees and exporters were identified by MTL to the U.S. Census Bureau when the cars were exported.

It is well settled that an ocean freight forwarder "is an entity that arranges transportation of goods on behalf of a shipper from a United States location to an overseas location. The freight forwarder, acting as the *shipper's* agent, takes delivery of the goods, routes them to their destination, prepares documentation, arranges for any necessary storage, and completes any other tasks relating to the movement of the goods. Freight forwarders *must be licensed by the Federal*

Maritime Commission... and are strictly regulated...”. See, United States v. Ventura, 724 F.2d 305, 306, 1983 U.S. App. LEXIS 14524, *3-4, 1984 AMC 645 (2d Cir. N.Y. 1983).

It is additionally well settled that in order to discern whether a party has acted as an ocean freight forwarder or a non-vessel operating common carrier, a Court may consider the following factors: (1) the way the party's obligation is expressed in documents pertaining to the agreement; (2) the history of dealings between the parties; (3) issuance of a bill of lading; and (4) how the party made its profit and, in particular, whether the party acted as 'agent of the shipper . . . procuring transportation by carrier and handling the details of shipment for fees which the shipper paid in addition to the freight charges of the carrier utilized for the actual transportation. See, Zima Corp. v. M. V. Roman Pazinski, 493 F. Supp. 268, 273 (S.D.N.Y. 1980) (quoting Chicago, Milwaukee, St. Paul & Pacific R.R. Co. v. Acme Fast Freight, Inc., 336 U.S. 465, 484, 69 S. Ct. 692, 93 L. Ed. 817 (1949)); Ca' de Be' Imps., Inc. v. Zim-American Israeli Shipping Co., 2006 U.S. Dist. LEXIS 127, 2006 WL 23547 (E.D. Pa. 2006).

As set forth above, it is undisputed that MTL performed various NVOCC and OFF tasks set forth above with respect to the export of the subject vehicles. (FF12, FF21, FF28). Among other things, respondents prepared and/or processed export declarations and prepared “dock receipts/bills of lading” and “MTL bills of lading”, delivered the loaded containers with the cars to the port of export, arranged for warehouse storage, and provided documents for clearance of the cars through CBP, and handled the payment of ocean freight and other monies.

MTL’s role as NVOCC and freight forwarder with respect to the shipment of the subject vehicles is significant in that it establishes that MTL was responsible for the point to point shipment of the cars. Thus, MTL was obligated to know the identity of the USPPI because as NVOCC and freight forwarder, they were obligated to report that information accurately to the

U.S. Census Bureau. To the extent that the information was reported inaccurately, MTL was under a duty to correct such inaccuracies after learning of them. It is undisputed that this did not occur.

Documentation Requirements for Exporting a Vehicle

Shippers can transact export shipments of automobiles in different ways. Those present in the USA and familiar with the process may opt to book their cargo directly with VOCC's. Others would typically use Freight Forwarders to arrange the bookings with VOCC's. Still others may hire an NVOCC to process the documents and make all the arrangements to facilitate overseas shipments.

The basic process starts with booking the export cargo on a planned vessel, securing the ocean container to load the cargo into, arranging for the trucker to bring the empty container to the loading facility and returning it back to the port once the container is loaded, blocked and braced. Documentation consists of the commercial set listed above, but in the case of exportation of motor vehicles there are additional agency documents and processes that must be complied with.

U.S. Customs and Border Protection Requirements

The exportation of motor vehicles requires additional procedures as mandated by 19 CFR 192.2(a) which states:

“A person attempting to export a used self-propelled vehicle shall present to Customs, at the port of exportation, both the vehicle and the required documentation describing the vehicle, which includes the Vehicle Identification Number or, if the vehicle does not have a Vehicle Identification Number, the product identification number. Exportation of a vehicle will be permitted only upon compliance with these requirements, unless the vehicle was entered into the United States under an in-bond procedure, or under a carnet or Temporary Importation Bond; a vehicle entered under an in-bond procedure, or under a carnet or Temporary Importation Bond is exempt from these requirements. The person attempting to export the vehicle may employ an agent for the exportation of the vehicle.”

Specific documentation requirements are set forth under 19 CFR 192.2 (b) (1) FOR U.S.-titled vehicles as:

i) Vehicles issued an original certificate of title. For used, self-propelled vehicles issued, by any jurisdiction in the United States, a Certificate of Title or a Salvage Title that remains in force, the owner must provide to Customs, at the time and place specified in this section, the original Certificate of Title or a certified copy of the Certificate of Title and two complete copies of the original Certificate of Title or certified copy of the original.

(ii) Where title evidences third-party ownership/claims. If the used, self-propelled vehicle is leased or a recorded lien exists in the U.S., in addition to complying with paragraph (b)(1)(i) of this section, the provisional owner must provide to Customs a separate writing from the third-party-in-interest which expressly provides that the subject vehicle may be exported. This writing must be on the third-party's letterhead paper, and contain a complete description of the vehicle including the Vehicle Identification Number (VIN), the name of the owner or lienholder of the leased vehicle, and the telephone numbers at which that owner or lienholder may be contacted. The writing must bear an original signature of the third-party and state the date it was signed

CBP further clarified the regulations for the Port of New York / New Jersey by Informational Pipeline of June 30, 2008 No. 08-012-NWK (a copy of which is annexed to Complainants' Remand Brief, dated March 17, 2021 in the matter of MAVL, *supra*, FMC Docket No.: 16-16, Document No.: 66 as Appendix "17") that requires the document set submitted to CBP consist of:

1. Original certificate of title
2. Duplicate certificate of title (front and back)
3. Plus one of the following:
 - a. Dock Receipt
 - b. Bill of Lading
 - c. Intent to Export Form

The Pipeline also requires that Dock Receipts may not be altered in any way and that original pier-date stamps, VIN Numbers and Shipper/Consignee information must be legible and complete.

19 CFR 192.2 (c) (d) and (e) go on to say that when exporting by vessel, the required documentation and the vehicle must be presented to US Customs & Border Protection (CBP) at least 72 hours prior to export. CBP Port Directors establish and advertise the locations for this vehicle inspection including hours of operation. CBP determines the authenticity of the documents submitted, marks or decrements the documents and returns the original stamped or decremented title to the exporter and keeps the certified copy sets.

This vetting process is designed to allow enough time (72 hours not including weekends or holidays) that a vehicle must sit at the dock while the documents are being reviewed. New and used vehicles each go through a similar process which can vary slightly by customs port. Most require the stamped or decremented title returned to the exporter as the control document for export. In the Customs Port of Newark (NY and NJ port area) the vehicle could be exported if the vehicle and documents were properly presented and no issues found, or 72 hours expires. This process was in force from Pipeline 08-012-NWK dated June 30, 2008 until December 4, 2015 when new Pipeline No. 16-004-NWK superseded with new requirements that vehicles must be held on dock until the stamped title is released by CBP regardless of whether 72 hours has lapsed. This is the typical practice by CBP today. The December 4, 2015 Pipeline notice also explicitly defines the terms ‘ultimate purchaser, and ‘end user’, and restricts the ocean liner from exporting a vehicle without stamped release documents from CBP, such as the certificate of title.

United States Census Bureau Requirements

A Shipper’s Export Declaration (“SED”) is required to be submitted to US Census before the cargo is exported. Originally a paper process (no longer accepted), this data is generated as Electronic Export Information (EEI) in the Automated Export System (AES) per regulations

today.¹⁶ The filing is done either directly by the U.S Principal Party of Interest (USPPI), or can be submitted by a third party Freight Forwarder or NVOCC when requested and authorized through power of attorney. The definition of USPPI is the person in the United States that received the primary benefit, monetary or otherwise, of the transaction. The Presiding Officer is asked to note that the SED for the cars contains false and inaccurate information.

Export Transaction (§30.3) - 15 CFR 30.3

The U.S. Principal Party in Interest (USPPI) receives payment from a foreign buyer and files the export information or appoints an authorized U.S. agent to prepare and file the EEI. If the USPPI authorizes an agent to file on its behalf, the USPPI must provide the agent a written authorization or power of attorney, as well as make the necessary license determination on the product, if a license is required.

Responsibilities in an Export Transaction (§30.3 (e))

U.S. Principal Party in Interest (USPPI) Responsibilities:

- Act on his own behalf and file the EEI
- Appoint an authorized U.S. agent to prepare and file the EEI on its behalf
- Provide a power of attorney or written authorization to the authorized U.S. agent
- Make a License Determination (in case license to export is required)
- Retain documentation

Authorized U.S. Agent Responsibilities:

- Obtain the authorization from the USPPI
- Provide transportation data
- Provide the USPPI with export information that it provided as submitted through the AES, if requested
- Retain documentation

Against the backdrop of the foregoing export control regulations, the Presiding Officer can see that MTL, in performing its duties as an OTI, was intimately involved in the process of reporting information regarding the shipment of the subject vehicles to various export control

¹⁶ 15 CFR 30.3, Census Bureau § 30.3 Electronic Export Information

regimes. MTL's failure to provide true and accurate information, in violation of its statutory obligations, is *precisely* the reason why complainants are not listed as shipper, exported and/or consignee on the shipping documents.

MTL is Subject To the EAR and CBP Regulations and Had a Duty to Accurately Report the Shipment Data

Inasmuch as MTL, as a duly licensed OTI is subject to the EAR and CBP Regulations, it is charged with the responsibility to do its due diligence in knowing whether or not the exported items are subject to any sort of restrictions based upon what is being exported, to where, to whom, and for what purpose. 15 CFR Part 744 of the EAR explains that export restrictions based on the end-use and end-user include restrictions on certain "...military end-uses, as well as restrictions on certain end-users." Accordingly, OTI's are under a statutory duty to conduct due diligence to prevent potential violations of the EAR.

By Definition, Segzmoore Auto Lounge and Avet Exoto Inc. Could Not Have Been the Exporters and/or Consignees for the Subject Vehicles

It is undisputed that neither Segzmoore Auto Lounge nor Avet Exoto Inc. purchased the subject vehicles, nor owned the vehicles. It is undisputed that these entities had nothing to do with these cars. Accordingly, the AESDirect printouts produced by the parties regarding the export of the subject automobiles establish that MTL provided false information to the Federal Export Regimes (e.g. U.S. Customs and the U.S. Department of Commerce, Census Bureau) regarding the consignees and exported for these vehicles.

VI. THE “CLAIMED ACTS OR OMISSIONS” OCCURED ON A “NORMAL, CUSTOMARY, AND CONTINUOUS BASIS”

Examples of Shipping Act Violations that Occurred on a Normal, Customary, and Continuous Basis

As set forth in the facts above, MTL regularly refused to provide MTL Bills of Lading, shipping documents, and invoices indicating how complainants’ monies held by MTL were being applied to storage, ocean freight and other charges and deliberately did so in order to keep complainants in the dark regarding the status of their automobiles in the custody and control of MTL.

After Alla Solovyeva’s March 5, 2018 email to complainants, again confirming that she agreed to accept a flat fee of \$300.00 per car for storage (FF147), she then induced complainants to continue to wire monies to MTL. For example, see FF149 for Alla Solovyeva’s March 5, 2018 email stating:

“...just please send payment for the storage fees¹⁷ and loading with ocean freight in NJ. I will load your container and you will feel much better...”

On March 9, 2018, complainants wrote to MTL with shipping instructions to load thirteen (13) of the New Jersey vehicles into three separate containers. (FF151) At this juncture, MTL and Alla Solovyeva instead loaded one container containing three automobiles together with two automobiles which had been cut in half by MTL, and five pallets with goods. MTL also shipped four (4) of complainants cars by RORO to an unknown consignee and the remainder of the New Jersey vehicles were never shipped nor were they ever released by MTL to complainants.

With regard to the single container (containing three automobiles together with two automobiles which had been cut in half, and five pallets with goods), that container was listed on

¹⁷ All storage invoices were issued after this date and were dated in May of 2018.

page “2” of the parties Joint Status Report and on the MSC Bill of Lading and MTL Bill of Lading (to wit: pages Bates Nos.: CX0004 and CX0009 – CX0010 which are attached to the Complaint as Appendix “B”) and also identified in paragraphs “141-144” and “169-171” of the Complaint. Specifically, complainants allege, inter alia, that respondents: a) refused to respond to Complainants’ requests for statements of account, invoices and other documentation relating to the application of monies received by MTL from Complainants to Complainants’ statement of account with MTL; b) withheld documentation needed to secure the release of the cars; c) failed to provide notice regarding the whereabouts of the cars; d) refused to promptly ship new cargo (cars recently delivered to MTL’s facility) ready for export and in possession of respondents until storage fees were paid for cargo unrelated to the new cargo, which resulted in additional storage fees being charged as to new cargo which could have been avoided; e) refused to promptly ship new cargo (cars recently delivered to MTL’s facility) ready for export and in possession of respondents until inland freight fees were paid for cargo unrelated to the new cargo, which resulted in additional storage fees being charged as to new cargo which could have been avoided; f) refused to follow instructions from complainants as to how to apply complainants’ monies held by respondents in respondents’ bank account as a deposit for purposes of paying for ocean freight; g) knowingly and willfully cut in half, dismantled, and destroyed two (2) automobiles belonging to complainants and which were shipped by respondents in a shipping container; and h) knowingly and willfully misdelivered Complainants’ automobiles.

Additionally, and for the Presiding Officer’s consideration on the issue of this “practice” occurring on a normal, customary, and continuous basis, the same conduct complained of herein is also alleged by the complainants in the matter of *MAVL Capital, Inc. et al. v. Marine*

Transport Logistics, Inc. et al., (FMC Docket No.: 16-16) wherein complainants allege that respondent MTL failed to follow complainants instructions and refused to ship complainants Mercedes and Porsche as directed by complainants, and instead the cars were misdelivered to Dubai by MTL. Complainants in that matter lost their money and lost their cars and MTL failed to provide them with certain documents (ownership documents, shipping invoices, bills of lading, transport terms and conditions), failed to deal in good faith.

In the matter at bar, and with regard to four cars shipped by RORO and the single container (containing three automobiles together with two automobiles which had been cut in half, and five pallets with goods), and prior to the commencement of the instant action, the undersigned counsel attempted to obtain from MTL's counsel (to wit: Mr. Garry Pogil, Esq.) the statements of account, invoices and other documentation relating to the application of monies received by MTL from Complainants to Complainants' statement of account with MTL. Specifically, the undersigned wrote to Mr. Pogil on May 18, 2018 and requested these documents in an effort to avoid the need for the Commission's intervention and was ignored. (FF 111)

To the extent that respondents may argue that they were allowed to refuse to ship recently received cargo due to alleged debts arising from other unrelated (older) cargo, the Presiding Officer is well aware that such practice is unlawful and is a violation of Section 41102(c) of the Shipping Act. The basic legal standard in the transportation industry is that the relationship between a carrier (or, in this case, NVOCC) and a shipper is strictly transactional in nature, with each individual transaction — shipment — regarded as a separate and independent entity. Thus, as particularly applicable here, the carrier (or NVOCC) is considered to have a lien on a shipment for these charges due on that particular shipment, but not those applicable to any other

prior ones. See, e.g. Order Affirming Settlement Officer's Decision, dated February 20, 2014 in the matter of Adebisi A. Adenariwo v. BDP International et al., FMC Informal Docket No.: 1821(I) at p. 3.

In other words, so far as a carrier's handling of any given shipment is concerned, the parties are considered in law to come to each other with a clean slate between them, irrespective of what dealings they may have had with each other in the past. The carrier is forbidden from allowing residual problems left over from previous transactions to affect its behavior in fulfilling the undertaking to which it has agreed with respect to a present shipment.

As set forth herein, Alla Solovyeva and MTL refused and failed to follow complainants' shipping instructions on March 9, 2018 to load three (3) containers, and instead, Alla Solovyeva and MTL cut two (2) cars in half, and shipped four (4) of complainants cars to an unknown consignee which had absolutely no business dealings with complainants. Alla Solovyeva and MTL also shipped four (4) of complainants cars by RORO to an unknown consignee which had absolutely no business dealings with complainants. The rest of the complainants' five (5) New Jersey cars were never shipped and never released to complainants.

As set forth herein, Alla Solovyeva and MTL have admitted and confirmed that they unlawfully applied complainants' monies towards storage charges instead of ocean freight and have also confirmed that such storage charges were excessive. (RX0082, RX0064, RX0065, RX0075, RX0066, RX0074, RX0071, RX 0073, RX0067, RX0069, RX0072, RX0068, RX0063, RX0070, RX0076,-RX0086, RX0062, RX0080 and FF30. With regard to vehicles which were not the subject of the parties' agreement of \$300.00 per vehicle for storage and which had already been released (and for which complainants ocean freight monies for newer cars were

used to pay for storage for these already released vehicles, see FF30, FF32, FF33, FF94-97, RX0172-RX0175, RX0181 – RX0184, and RX0156).

In the matter at bar, and with regard to the single container (containing three automobiles together with two automobiles which had been cut in half, and five pallets with goods), MTL issued a defective house bill of lading containing false and inaccurate information. In its House Bill of Lading, MTL identified the Exporter to be CJ Deluz Nigeria, but listed the consignee to be Nnabugwu Chinedu Andrew, 63 New Hook Road, Bayonne NJ 07002 (while Nnabugwu Chinedu Andrew was always located in Nigeria) and also listed the Notify Party to be ALJ Forwarders Services Limited in Nigeria without permission from complainants inasmuch as complainants never knew or had any business dealings with ALJ Forwarders Services Limited. With regard to other examples of MTL's regular, customary and continuous practice of issuing inaccurate and false house bills of lading, it is respectfully submitted that this issue is contained within the Complaint filed on this docket in the matter of MAVL supra, as well as the various filings on that docket regarding the Mercedes and Porsche at issue in that matter.

The Unjust and Unreasonable Acts by MTL Did Occur on a Normal, Customary, and Continuous Basis

It is respectfully submitted that the numerous examples of MTL's various unjust and unreasonable acts described above are sufficient to demonstrate that MTL's violations of Section 41102(c) of the Shipping were not limited to a single incident. As to the routine practices of MTL as described herein, the Commission is respectfully asked to note that the record herein demonstrates that it has been, and continues to be the business model of MTL, on a normal, customary, and continuous basis to fail to observe just and reasonable practices connected with the handling, storing, and delivering of cargo. The Presiding Officer is well acquainted with the allegations in the two other matters before the Commission involving MTL as a respondent.

That business model extends far past the handling, storing, and delivering of complainants' cargo in this matter, and MTL's past activity with regard to other shippers (such as the complainants in the matter of MAVL, *supra*) is also set forth in detail in the two other FMC proceedings which are, to wit: Best Way USA, Inc. v. Marine Transport Logistics (FMC Informal Docket No.: 1901[I]) and Samir Abusetta et al. v. JAX Auto Shipping Inc. and Marine Transport Logistics, Inc. (FMC Informal Docket No.: 1932[I]). (We note that while MTL was not found to have-violated the Shipping Act in Samir, *supra*, that in the matter at bar, MTL is charged with the knowledge that storage charges were accruing with regard to the Formula and failed to notify complainants, as did JAX Auto Shipping Inc. in Samir, *supra*.) To be crystal clear, in the matter at bar, MTL has committed the same unlawful behavior that did JAX Auto Shipping Inc. in Samir, *supra*. The point and intent of bringing that matter to light here, is to illustrate that in the matter at bar, *MTL is JAX*.

In the same manner in which JAX was charged with the knowledge that storage fees were accruing and failed to inform their customer that this was happening, in the matter at bar, MTL is similarly charged with that knowledge and failed to inform complainants that storage charges had accrued - - this was the point. We add briefly that since MTL was aware of the Commission's decision in that matter regarding JAX's responsibility to inform its client about the accrual of charges, that not only MTL should have known better than to do that here, but that MTL knew exactly what it was doing in the matter at bar.

Complainants respectfully submit that the point and intent of bringing Best Way to the Presiding Officer's attention is to illustrate that the fact that a violation of the Shipping Act was found to have occurred in that matter, and that MTL's 41102(c) violation in Best Way can be considered "in the big picture" together with violations that have occurred in other matters, such

as the one at bar. In other words, if the Presiding Officer were to analyze each and every single FMC proceeding in a vacuum without considering facts on the record in other FMC proceedings involving the same parties, it is possible to never find a pattern of unreasonable behavior occurring on a normal, customary, and continuous basis. Analyzing each case in a vacuum without considering violations found to have occurred in other FMC proceedings would simply reward MTL and runs contrary to the intent of the interpretive rule.

VII. THE COMMISSION'S INTERPRETIVE RULE SHOULD NOT BE APPLIED RETROACTIVELY

The undersigned counsel is cognizant of the Commission's position on the issue of the retroactive application of the Interpretative Rule, codified at 46 C.F.R. § 545.4 for violations of section 41102(c) of the Shipping Act, as set forth in detail in the Commission's recent Order Affirming Initial Decision on Remand, dated August 18, 2021 in the matter of *Crocus*, supra, Docket No.: 15-04. While that issue will be more appropriately addressed by the D.C. Circuit Court of Appeals by petition, and while complainants herein nevertheless argue that all five elements of the Interpretive Rule have been met (and in particular, that complainants have established that that MTL's unreasonable conduct was normal, customary, and continuous and amounts to a "practice"), complainants argue here (with all due respect to the Presiding Officer and the Commission) that the Interpretive should not be applied retroactively. At the minimum, this argument is again set forth herein for purposes of preserving complainants' rights to address this issue if the D.C. Circuit Court of Appeals ultimately agrees with complainants' legal arguments.

With that said, the Presiding Officer and the Commission are aware that the Rule was issued on December 17, 2018, and that all of MTL's acts complained of herein were committed prior to the issuance of the Rule. Pursuant to the Federal Administrative Procedure Act, the rules

created by administrative agencies should only possess a prospective effect. Accordingly, the Interpretive Rule should not be applied retroactively to MTL's activity complained of herein, and to do so otherwise effectively reward MTL for its behavior if complainants were required to establish that MTL's unreasonable acts in question occurred on a normal, customary, and continuous basis.

In passing, we also note Commissioner and Chairman Maffei's concurring opinion in the matter of *Crocus*, *supra*, wherein he explains that the interpretive rule is currently contributing to a substantial deterrent for parties to bring private claims in cases involving alleged unreasonable detention and demurrage charges and that he hopes to draw attention to this issue in the hopes that Congress will clarify the awkward phrasing of § 41102(c) and make it clear how the Commission should adjudicate such claims. Complainants wholeheartedly agree with that position - - it is bad enough to have the Commission close the door in the face of an innocent party who was the victim of evil conduct of an NVOCC, and it is even worse to get "hit over the head" with attorneys' fees if that victim fails to prevail in their claims before the Commission.

VIII. MTL'S ACTS AND OMISSIONS WITH REGARD TO THE SUBJECT AUTOMOBILES COMPLAINED OF HEREIN ARE UNJUST AND UNREASONABLE

Without engaging in an *ad nauseum* repetition of MTL's blatant fraud upon complainants herein, together with other shippers in the related proceedings such as *Crocus*, *supra*, *Samir*, *supra*, *Bestway*, *supra*, and *MAVL*, *supra*, as well as respondents' fraud upon the Federal Export Regimes (such as the U.S. Census Bureau and U.S. Customs), and the Commission with regard to their fraudulent AES filings, and clear lack of any legal basis for excessively overcharging complainants for storage, and for the manner in which respondents handled complainants'

automobiles, resulting in the loss of all seventeen (17) automobiles in MTL's custody, possession and control, suffice it to say that complainants have established that MTL'S acts and omissions with regard to the seventeen automobiles complained of herein are unjust and unreasonable. On this issue, MTL's list of sins, are set forth in detail in the facts identified above and in complainants' proposed findings of fact.

MTL's failure to follow instructions from complainants as to where and how to ship the cars are set forth in detail above, as is MTL's practice of overcharging for storage and failure to provide any information whatsoever to Complainants as to the manner in which respondents were applying complainants' monies for ocean freight. As set forth above, MTL did not provide any invoices for storage related to the cars. As set forth above, MTL actually exported various cars and released them to consignees with whom complainants had no business dealings whom complainants did not know. As set forth above, MTL cut two cars in half without permission and then charged complainants for this service, as well as for ocean freight for the export of these cars. As set forth above, MTL failed to provide shipping documents to complainants as it has done in the past to the complainants in the matters of Crocus, *supra*, Samir, *supra*, Bestway, *supra*, and MAVL, *supra*.

IX. MTL'S ACTS AND OMISSIONS WITH REGARD TO THE SUBJECT AUTOMOBILES COMPLAINED OF HEREIN ARE THE PROXIMATE CAUSE OF COMPLAINANTS' CLAIMED LOSS

As set forth above, complainants' loss of the seventeen (17) automobiles placed into MTL's possession, custody and control has been described in detail. Complainants never saw these cars again nor were they ever compensated for their loss. Complainants paid numerous sums of monies to respondents for storage and other charges as set forth in detail above, for

which MTL failed in its duty to export and which it simply kept, together with complainants' monies.

Accordingly, MTL's conduct has proximately resulted in the loss of the cars complained of herein.

CONCLUSION

In closing, complainants respectfully request that the Presiding Officer consider the above described repeated violations of the Shipping Act during the course of respondents' business dealings with complainants and the ongoing nature of some of these violations, together with the facts that demonstrate that these violations occurred on a normal, customary, and continuous basis.

Consequently, and in light of respondents' repeated violations of the Shipping Act and the ongoing nature of some of these allegations it is respectfully requested that the Presiding Officer consider the foregoing, grant complainants such other and further relief as may be just and proper under the circumstances.

WHEREFORE, for the reasons set forth above, Complainants request that: (1) an order be made commanding respondents to pay to Complainants by way of reparations for the unlawful conduct hereinabove described, the sums described herein, with interest and attorney's fees, costs and expenses, or such other sum as the Presiding Officer may determine to be proper as an award of reparation; (2) that the Presiding Officer issue an Order holding that the respondents violated the Shipping Act of 1984; and (3) that the Presiding Officer issue such other and further order or orders as she determines to be just and proper.

Dated: August 31, 2021
Brooklyn, New York

Respectfully Submitted,

/s/ Marcus Aurelius Nussbaum
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' BRIEF, PROPOSED FINDINGS OF FACT AND APPENDIX** upon Respondents' Counsel at the following address:

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Dated: Brooklyn, New York
August 31, 2021